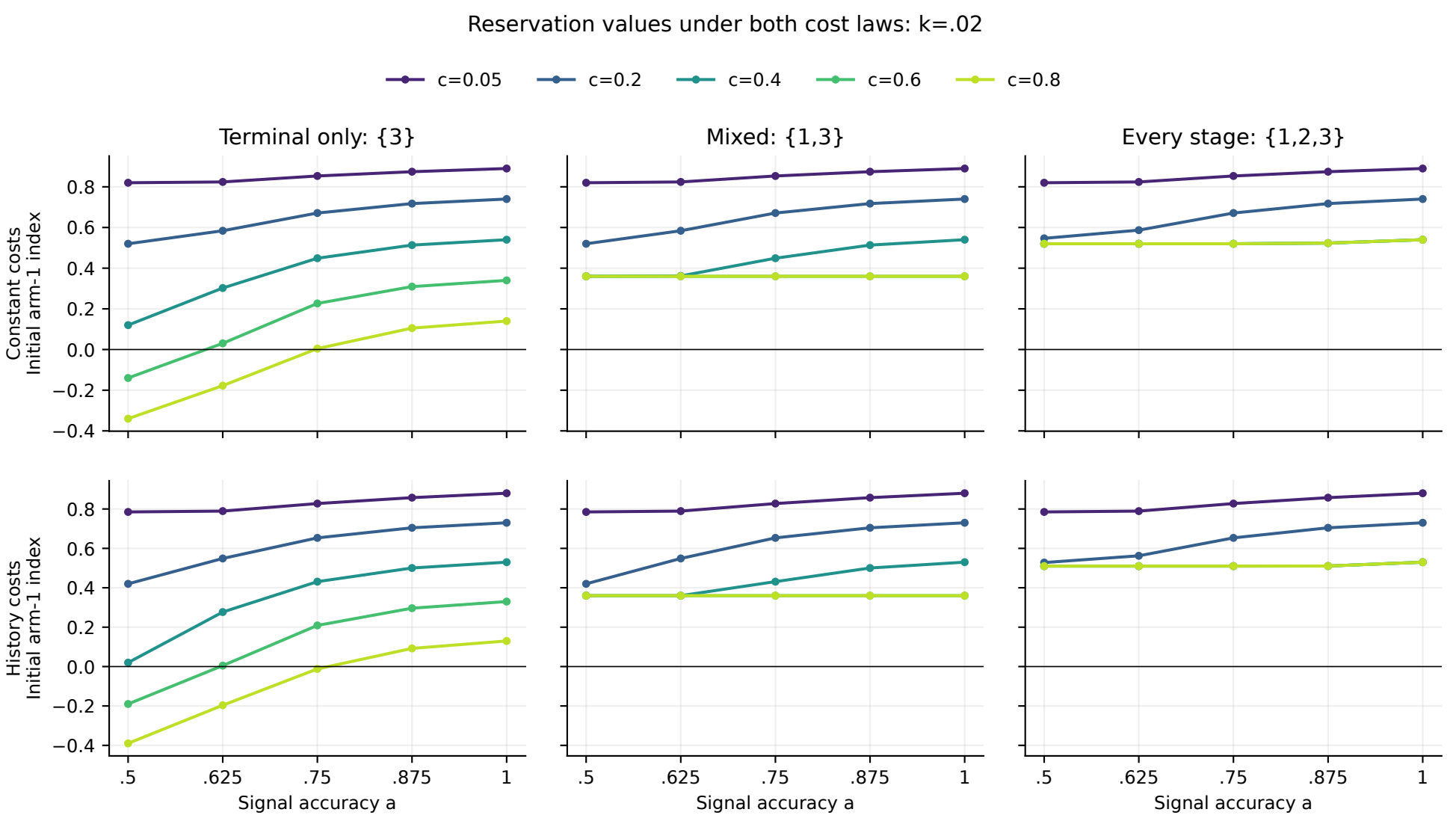
Reservation values under both cost laws: k=.02
c=0.05
c=0.2
c=0.4
c=0.6
c=0.8
Terminal only: {3}
Mixed: {1,3}
Every stage: {1,2,3}
Constant costs
Initial arm-1 index
History costs
Initial arm-1 index
0.8
0.6
0.4
0.2
0.0
−0.2
−0.4
.5
.625
.75
.875
1
Signal accuracy a